Canada Bread Company, Limited

ANNUAL INFORMATION FORM

DECEMBER 27, 1997

MARCH 6, 1998

ITEM 1: INCORPORATION

Canada Bread Company, Limited ("Canada Bread" or the "Company"), a subsidiary of Maple Leaf Foods Inc. ("Maple Leaf Foods"), was originally incorporated pursuant to the laws of the Province of Ontario on June 9, 1911, under the name Canada Bread Company, Limited. The name was subsequently changed to Corporate Foods Limited on October 15, 1969, and changed back to Canada Bread Company, Limited on April 30, 1997. The Company amalgamated with Central Bakery of Toronto Limited, a wholly-owned subsidiary, on December 31, 1989, with the amalgamated Corporation continuing under the name "Corporate Foods Limited", and amalgamated with McGavin Foods Limited, a wholly-owned subsidiary, on December 27, 1997 with the amalgamated Corporation continuing under the name "Canada Bread Company, Limited". Unless the context requires otherwise, the term "Company" or "Canada Bread" herein refers to Canada Bread Company, Limited and its principal subsidiaries listed below.

Subsidiary	Jurisdiction of Incorporation	Ownership Percentage (Voting)
Dough Delight Ltd.	Ontario	100%
Eastern Bakeries Limited	New Brunswick	100%
Olivieri Foods Limited	British Columbia	100%

ITEM 2: GENERAL DEVELOPMENT OF THE BUSINESS

Canada Bread and its subsidiaries manufacture value-added flour based food products. Its product lines are comprised largely of fresh and frozen bakery products and specialty pasta and sauces. Canada Bread has diversified its business through the acquisition of, or investment in, other companies producing products complementary to its major product lines.

In December 1992, the Company acquired all of the issued and outstanding shares of McGavin Foods Limited ("McGavin Foods") from Maple Leaf Foods.

Since 1983, Canada Bread has held a 49% equity interest in Dough Delight Ltd. ("Dough Delight") of Concord, Ontario. In June 1993, the Company purchased the remaining 51% of Dough Delight's issued and outstanding shares. On December 31, 1995, Dough Delight was amalgamated with Circlet Foods. The amalgamated company continues under the name Dough Delight Ltd.

In October 1993, Canada Bread purchased the assets of Brooklyn Bagel Boys, Inc. ("Brooklyn Bagel Boys") located in Chicago, Illinois. The purchase price was, in part, contingent on future earnings. An additional payment was made in 1997. On January 2, 1997, the Company sold all of the issued and outstanding shares of Brooklyn Bagel Boys to Maple Leaf Foods.

In October 1995, Canada Bread acquired the assets and goodwill of Maple Leaf's Tenderflake Division. The Tenderflake Division manufactured frozen pie, tart and pastry shells for the retail market. These products are retailed under the brand name "Tenderflake". The assets and goodwill were transferred to Dough Delight who are continuing to expand the "Tenderflake" product line.

In April, 1996, the Company acquired the net assets of Bella Pasta Inc., a specialty pasta company, located in Stoney Creek, Ontario ("Bella Pasta").

In May, 1996, the Company acquired the net assets of Venice Bakery Ltd., a manufacturer of hearth and french bread and rolls, located in Vancouver, British Columbia ("Venice Bakery").

In November, 1996, the Company acquired the net assets of West Coast Bakery Limited, located in Cornerbrook, Newfoundland.

Canada Bread also owns a 25% equity interest in Multi-Marques Inc. ("Multi-Marques") of Montréal, Québec.

The Company's 1997 results of operations and financial condition are presented in the Operation and Financial Review section of the 1997 Annual Report.

ITEM 3: BUSINESS

Canada Bread is a major manufacturer of flour based food products. Diversification within the manufacture of flour based products has been achieved by producing and offering to the market, fresh baked bread and roll products, frozen unbaked and baked dough products and specialty pasta and sauces.

The Company is Canada's only national baker of fresh bread and rolls with facilities coast to coast. These fresh bakery products are manufactured and distributed by Canada Bread and its wholly owned subsidiaries, Eastern Bakeries in Atlantic Canada, and by the Company's Dempster's and McGavin divisions which operate in Ontario and Western Canada markets.

Dough Delight manufactures and distributes frozen unbaked and baked dough products across Canada and the United States.

Olivieri Foods Limited ("Olivieri") is the leading producer in Canada, and the third largest in North America, of fresh, flat and filled pasta and sauces. These products are currently sold across Canada and the U.S.

Branded fresh bakery products are distributed and sold across Canada to major grocery chains, retail outlets and the food service industry. The Company's owned and licensed brand names are important to the selling and marketing of these products. Canada Bread also manufactures and distributes fresh private label bakery products to major grocery store chains and fast food outlets.

Key branded products include: *Dempster's*, *McGavin's*, *Venice* and *Butternut*. The Dempster's brand is a market leader in the sale of premium whole wheat, variety breads and bagels.

The Company also sells fresh bread and rolls under brand names which are licensed including; *Olivieri*, *Sun•Maid*, *Roman Meal*, *Arnold*, *Brownberry* and *Hollywood*. Although the products manufactured under license do not represent a major portion of Canada Bread's sales, they do enhance and broaden the Company's general product lines.

In the fresh bakery market, Canada Bread competes with other wholesale bakeries and with supermarket chains that have in-store bakeries or private label products. The Company is competitive on the basis of product development, product quality, brand loyalty, effective promotional activities, the ability to identify and satisfy emerging customer preferences and customer service demands. Providing the highest standard in customer service is the driving factor for obtaining the premium retail "shelf space" among the bread product distributors.

Most products sold by the fresh bakeries have an extremely short shelf life and therefore, effective product distribution is an important element in ensuring high customer satisfaction. It is necessary to locate manufacturing facilities and distribution centres as close as practicable to the market area being served. The Company has designed its distribution and routing systems to ensure that fresh products are delivered on a timely and cost efficient basis.

The Company's products are sold in Western Canada principally through its own distribution network. A number of company-owned routes have been converted to independent distributors who are responsible for ordering, distributing and servicing their accounts, and purchasing products from Canada Bread for resale to their customers. Canada Bread operates retail thrift stores for the recovery of returned products.

Management believes that its Ontario operations have the broadest distribution of variety breads and rolls of any bakery in the province. A fleet of tractor trailers transports fresh bakery products from Canada Bread's manufacturing facilities to its distribution centres. These products are sold through independent franchised dealers who operate from the distribution centres. A small number of Company routes serve food service customers. In addition, the Company operates a thrift location for the recovery of returned products.

In Atlantic Canada, the Company sells almost all of its products through its own distribution network. Distribution centres are located in all provinces in Atlantic Canada. Products are transported from plant locations to the distribution centres by independent contract carriers. The Company also utilizes a small number of independent distributors.

Canada Bread's frozen bakery products are manufactured and sold through its 100% owned subsidiary, Dough Delight.

The Company manufactures and distributes a variety of frozen unbaked and baked dough products to in-store bakeries, restaurants and institutional accounts throughout Canada and the United States. Approximately one third of Dough Delight's total sales are made to customers in the United States. Products manufactured by Dough Delight include bagels, flatbreads (e.g. pizza shells), croissants, muffins, Danish pastries, coffee cakes, pita breads, frozen pie shells and frozen crusty bread and rolls. These products are primarily sold to major grocery chains and retail outlets under private label brands and for sale through in-store bakeries. Products under the Dough Delight name are sold to institutional and food service accounts. Brand names owned by Dough Delight include *Platina*, *Toronto Bagel*, *Tenderflake* and *Olivieri* (which is licensed from Olivieri Foods Limited). Effective January 1, 1996, Dough Delight's U.S. operations and the sales and marketing of its

products in the U.S. were managed by Maple Leaf USA Inc. ("Maple Leaf USA"). The Company benefits from Maple Leaf USA's focus on its U.S. business. Canada Bread competes in its frozen bakery markets with other wholesale bakeries on the basis of new product development and the ability to satisfy emerging customer preferences, product quality and value.

The Company's fresh and frozen pasta and pasta sauces are manufactured and distributed to major grocery chains, retail outlets and the food service industry through its wholly owned subsidiary, Olivieri Foods. Olivieri manufactures and distributes flat and filled pasta and sauce products under the Olivieri brand name across Canada. In addition, Olivieri manufactures private label pasta and sauce products, principally for sales into the United States. Olivieri competes on the basis of the development of innovative, unique, upscale products, high product quality, effective promotional activities and ongoing investment in increased state-of-the-art production facilities.

INVESTMENTS IN OTHER COMPANIES

Canada Bread has a 25% equity interest in Multi-Marques Inc. of Montréal, Québec. Multi-Marques, with sales of approximately $250 million, is the largest bakery in Québec. It operates numerous manufacturing facilities and distribution centres in Québec and distributes its products throughout the province and into part of New Brunswick. In September 1994, Multi-Marques purchased an equity interest in Ben's Limited. In 1995, it increased this interest such that it presently owns a majority of Ben's Limited.

Canada Bread acquired its initial interest in Multi-Marques in 1971. The families of existing and former senior management of Multi-Marques own a majority of the 75% interest not owned by Canada Bread.

PRINCIPAL FACILITIES

The following table lists the locations of the Company's principal manufacturing facilities:

Location	Owned/Leased
Toronto, Ontario (2)	Owned
Toronto, Ontario (3)	Leased
Concord, Ontario (2)	Leased
Concord, Ontario	Owned
Stoney Creek, Ontario	Owned
London, Ontario	Owned
Anjou, Québec	Leased
Moncton, New Brunswick	Owned
Woodstock, New Brunswick	Owned
Berwick, Nova Scotia	Owned
St. John's, Newfoundland	Owned
Langley, British Columbia (2)	Owned
Annicis Island, British Columbia	Owned
Vancouver, British Columbia	Leased
Edmonton, Alberta	Owned
Edmonton, Alberta	Leased
Calgary, Alberta	Owned
Winnipeg, Manitoba	Owned

In addition to the distribution centres located throughout Canada, many of which are leased, the Company leases 24,000 square feet for its corporate offices in Etobicoke, Ontario.

RAW MATERIALS

The Company purchases a variety of ingredients and packaging materials, the major ingredients being flour, yeast, vegetable shortening and sugar. The Corporation was party to an agreement to purchase the bulk of its flour and bakery mix requirements from Maple Leaf Mills Inc. at competitive prices. Maple Leaf Mills Inc. is equally owned by Maple Leaf Foods and ConAgra Inc. Concurrent with the closing of the sale of the net assets of Maple Leaf Mills Inc. to ADM Agri-Industries Ltd. on February 28, 1997, this agreement was terminated. The raw materials required for its manufacturing operations have been readily available and the Company does not foresee any shortages.

The cost of flour, which represents a major component of the Company's raw material costs, is directly impacted by wheat prices and quality, which remain volatile. The Company manages exposure to fluctuating flour prices through the use of forward purchase contracts.

INFLATION AND SEASONALITY

The Company operates primarily in Canada where inflation has been relatively low and its overall impact on the business is not considered to be material. The business as a whole does not tend to be seasonal except for sales of rolls which increase significantly from May to September each year. The first quarter of the year is a slower period for the food business generally.

ENVIRONMENTAL MATTERS

Environmental responsibilities, which extend to the Company's plant operations, the use of packaging for its products and the health of consumers, are considered a high priority by Canada Bread. The Company has adopted an environmental stewardship program under which specific senior executives take responsibility for all environmental matters within the Company. These executives work together to ensure that Canada Bread is in compliance, in all material respects, with existing environmental regulations. Reports regarding all environmental issues or matters which have arisen are provided to the Board of Directors for discussion and evaluation on a regular basis. Expenditures relating to current environmental standards are not expected to have a material impact on the financial position or earnings of the Company.

EMPLOYEES

At December 27, 1997, the Company employed approximately 3,300 full-time people, 2,000 of whom are covered by collective agreements. Management considers that it has good relations with its work force.

RELATED PARTY TRANSACTIONS

In August 1995, the Company entered into a Management and Affiliation Agreement with Maple Leaf Foods whereby the Company benefits from certain services provided by Maple Leaf Foods. The cost of this service in 1997 was $2.7 million.

At the end of 1995, the company also entered into a Management Services Agreement with Maple Leaf Foods USA, whereby Maple Leaf Foods USA will have direct responsibility for the management of the Company's U.S. sales and operations. Fees for this service, aside from direct expenses incurred in generating business for the Company, are included in the Management and Affiliation Agreement discussed above.

In October 1995, the Company acquired the assets and goodwill of Maple Leaf Foods' Tenderflake Division for cash and shares as disclosed in the Company's consolidated financial statements.

On January 2, 1997 the Company sold all of the issued and outstanding shares of Brooklyn Bagel Boys to Maple Leaf Foods as disclosed in the notes to the financial statements. All of the above transactions were reviewed and approved by a committee composed of independent members of the Board of Directors.

ITEM 4: SELECTED CONSOLIDATED FINANCIAL DATA

On December 26, 1992, its 1992 fiscal year end, the Company completed the purchase of McGavin Foods. The McGavin Foods acquisition has been accounted for using the purchase method and accordingly the McGavin Foods balance sheet was consolidated in 1992 but its results of operations were not. The results of operations of McGavin Foods have been consolidated beginning in fiscal 1993. Similarly, the balance sheets and results of operations for Circlet, Dough Delight and Brooklyn Bagel Boys have been consolidated subsequent to the Company increasing its ownership to 60% of Circlet, February 20, 1993; 100% of Dough Delight, June 25, 1993 and the Company's acquisition of Brooklyn Bagel Boys October 15, 1993. Circlet Foods is fully consolidated subsequent to the Company's increase in ownership to 100% August 25, 1995. The following selected consolidated financial data of the Company for 1993 to 1997 is derived from the audited consolidated financial statements of the Company.

	52 weeks ended 12/27/97	52 weeks ended 12/28/96	53 weeks ended 12/30/95	52 weeks ended 12/31/94	52 weeks ended 12/25/93
		(millions of dollars, except per share amounts)			
Income Statement Data					
Sales	515.4	540.3	478.2	424.8	360.2
Net earnings (1) (3)	31.1	25.0	21.9	22.3	21.4
Per Common Share					
Net earnings (1) (2) (3)	1.46	1.17	1.04	1.06	1.02
Dividends declared	0.24	0.24	0.24	0.24	0.24
Balance Sheet Data					
Total assets	358.0	349.1	303.8	278.6	256.0
Net (borrowings)	(36.6)	(48.9)	(45.2)	(42.0)	(33.0)

Footnotes

(1) Net earnings and net earnings per common share in 1993 include a $1.3 million ($0.06 per share) one-time gain net of tax relating to the disposition of the Gainsborough Kitchens division.

(2) Net earnings per common share would not be significantly diluted if all shares under the Incentive Stock Option Plan and Employees and Dealers Incentive Share Purchase Plan had been issued.

(3) Net earnings and net earnings per common share in 1997 include a $4.0 million ($0.19 per share) one-time gain net of tax relating to the disposition of Brooklyn Bagel Boys, Inc.

	Sales	Net Earnings Amount	Per Share
		(millions of dollars, except per share amounts)	
Quarterly Reports			
1997			
*12 weeks ended March 22	111.6	7.2	0.34
12 weeks ended June 14	122.0	6.0	0.28
12 weeks ended September 6	124.0	7.6	0.36
16 weeks ended December 27	157.8	10.3	0.48
1996			
12 weeks ended March 23	108.9	3.6	0.17
12 weeks ended June 15	120.8	5.3	0.25
12 weeks ended September 7	136.2	7.1	0.33
16 weeks ended December 28	174.4	9.0	0.42

* Net earnings and earnings per share include a $4.0 million ($0.19 per share) one-time gain net of tax on the sale of Brooklyn Bagel Boys, Inc.

DIVIDENDS

The declaration and payment of dividends is at the discretion of the Board of Directors. The Board of Directors intends to maintain a stable dividend policy and, where appropriate, change the dividend on the basis of the Company's estimated earnings and projected cash requirements.

ITEM 5: MANAGEMENT'S FINANCIAL REVIEW AND ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION

Reference is made to the section entitled "Operations and Financial Review" of Results of Operations and Financial Condition beginning on page 14 of the 1997 Annual Report to shareholders, which section is incorporated herein by reference.

ITEM 6: MARKET FOR SECURITIES

The Company's shares are listed and posted for trading on The Toronto Stock Exchange under the symbol "CBY".

ITEM 7: DIRECTORS AND OFFICERS

DIRECTORS

Each director is elected to hold office until the next annual meeting of the shareholders or until his/her successor is elected or appointed. The next annual meeting of the shareholders will be held on May 1, 1998.

The Company has no Executive Committee of the Board. The Board maintains an Audit Committee and a Human Resources and Corporate Governance Committee.

The name, municipality of residence, period of service and principal occupation of each of the directors of Canada Bread are as follows:

Name and Municipality of Residence	Director Since	Principal Occupation
JOHN L. BRAGG (1) (2) Collingwood, Nova Scotia	1995	President, Oxford Frozen Foods Limited
SARAH A. EVERETT (1) (2) Toronto, Ontario	1995	Chairman, Tereve Holdings Ltd. (Bowring)
RICHARD A. LAN Chatham, New Jersey	1995	President, Maple Leaf Foods USA Inc. (Primary) Executive Vice-President, Maple Leaf Foods Inc. (Secondary)
DAVID H. LEES Bolton, Ontario	1993	President and Chief Executive Officer, Canada Bread Company, Limited

Name and Municipality of Residence	Director Since	Principal Occupation
CHARLES J. MAYER [1] St. Francois Xavier, Manitoba	1997	Chairman, Manitoba Crop Insurance Board
J. SCOTT McCAIN Toronto, Ontario	1995	Executive Vice-President, Maple Leaf Foods Inc.
MICHAEL H. McCAIN Toronto, Ontario	1995	President and Chief Operating Officer, Maple Leaf Foods Inc.
G. WALLACE F. McCAIN Toronto, Ontario	1995	Chairman of the Board, Maple Leaf Foods Inc.
ARCHIBALD D. McLEAN Toronto, Ontario	1995	Chairman, Canada Bread Company, Limited Vice-Chairman and Chief Executive Officer, Maple Leaf Foods Inc.
THOMAS P. MUIR Toronto, Ontario	1995	Executive Vice-President and Chief Financial Officer, Maple Leaf Foods Inc.
JOHN F. PETCH, Q.C. [2] Toronto, Ontario	1995	Vice-Chairman and a Senior Partner, Osler, Hoskin & Harcourt (Barristers and Solicitors)

(1) Member of the Audit Committee and is appointed annually.

(2) Member of Human Resources and Corporate Governance Committee and is appointed annually.

All of the directors have had the principal occupation indicated for the previous five years or were in other executive capacities with the Company or an affiliate except as follows:

Prior to August 1993, Ms. Everett was Chairman and Chief Executive Officer of Domo Gasoline Corporation Limited; prior to 1995, Mr. Lan was President, McCain Citrus Inc.; prior to September 1993, Dr. Lees was President, Consumer Foods Group, Maple Leaf Foods Inc. and prior to July 1990, was Vice-President, Development, Maple Leaf Mills Limited; prior to 1995, Mr. Scott McCain was Vice-President of Production for McCain Foods Limited; prior to 1995, Mr. Michael McCain was President and Chief Executive Officer of McCain USA, Inc.; Mr. Wallace McCain is Vice-Chairman, McCain Foods Limited and prior to 1994, was President and Co-Chief Executive Officer of McCain Foods Limited; prior to 1995, Mr. McLean was Executive Vice-President and General Manager of McCain Foods Canada; prior to 1995, Mr. Muir was Vice-President and Director of RBC Dominion Securities Inc. where he was Co-Head, Investment Banking and, before that, was Co-Head, Mergers and Acquisitions; and prior to February 1996, Mr. Petch was a Senior Partner, Osler, Hoskin & Harcourt.

OFFICERS

The name, municipality of residence and position held by each of the officers of Canada Bread are as follows:

Name and Municipality of Residence	Position Held
DONALD A. BRADD Bolton, Ontario	Executive Vice-President, Operations
ROBERT I. BUSCH Toronto, Ontario	Senior Vice-President, Human Resources
ROBERT B. DOUGANS Aurora, Ontario	Senior Vice-President, Marketing and Business Development
DAVID H. LEES Bolton, Ontario	President and Chief Executive Officer
ARCHIBALD D. McLEAN Toronto, Ontario	Chairman
PAUL A. NELSON Etobicoke, Ontario	Senior Vice-President, Technical Services
LARRY J. PALKO Burlington, Ontario	Senior Vice-President, Finance and Corporate Secretary
MICHAEL H. VELS Toronto, Ontario	Chief Financial Officer

All of the officers have been engaged in their present occupation for the previous five years or were in other executive capacities with the Company or an affiliate except as follows:

Prior to 1995, Mr. McLean was Executive Vice-President and General Manager of McCain Foods Canada; prior to March 1994, Mr. Busch was Director Human Resources and Public Relations of Cyanmid Canada Inc.; Mr. Vels is Chief Financial Officer of the Company and Senior Vice-President Finance, Maple Leaf Foods Inc.

Information on shareholdings of directors and senior officers of the Company is based on data furnished by them. All directors and senior officers of the Company, as a whole, beneficially own, directly or indirectly, or exercise control over less than 1% of the common shares of the Company.

ITEM 8: ADDITIONAL INFORMATION

Additional information, including directors' and officers' remuneration and indebtedness, principal holders of the Company's securities, options to purchase securities and interests of insiders, is contained in the Company's Management Information Circular for the Annual Meeting of Shareholders to be held May 1st, 1998. Additional financial information is provided in the Company's comparative consolidated financial statements for the period ended December 27, 1997. A copy of the Management Information Circular and the Company's Annual Report may be obtained upon request from the Corporate Secretary of the Company.